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BUSINESS STUDIES PAPER 2**MARKING SCHEME****1. (a) Importance of business plan to an entrepreneur**

- (i) Business plan helps in the allocation of the resources.
- (ii) It helps in determining the amount of capital required.
- (iii) Identifying strengths/weakness of business
- (iv) Reducing mistakes.
- (v) Adaptability,
- (vi) Finding by financial institutions.

(b)

- i. Commercial banks accept deposits of money from their customers and keep it safely. Those who are engaged in various businesses activities can therefore keep their money with commercial banks without having to worry about its security.
- ii. Commercial banks are sources of finance to business people. They can lend both long and short term loans which enable businesses to access the funds which they can use to start and run their business.
- iii. For those clients who are engaged in international trade, commercial banks assist by issuing letters of credit.
This enables the business people to access goods from other countries on credit.
- iv. Business people needing the advice of financial and investment matters can get them from their bankers.
This assists them to make sound decisions for effective operation of their business.
- v. Business people usually require convenient means of payment to enable them carry out their business transaction smoothly.

2. (a) Describe 5 factors that may be contributing to the increasing rate of inflation in the country

- (i) Increase in amount of money supply leading to increased demand.
- (ii) Increasing costs of factor inputs e.g. raw materials.
- (iii) Scarcity of factor inputs that like prices leading to high consumer prices.
- (iv) High prices of imports leading to high prices of consumer goods.
- (v) Increased government taxes on consumer goods.
- (vi) High interest rates on loans hence firms charge higher prices for their products.
- (vii) Increased credit facility by commercial banks thereby increasing amount of money in circulation.
- (viii) Increase in population that exceeds the supply of commodities.

(b) different between public co-operations and public Limited Company

Public co-operation	Public limited company
1. Initial capital is usually provided by the government	Initial capital comes from share contribution.
2. Established through legislation by an act of parliament.	Established by promoters according to the company's act.
3. Managed by a board of directors appointed by its government.	Managed by a board of directors elected by shareholders
4. Profits are issued to dividends and the government	Profits are distributed and the shareholders as dividends
5. Non- profit motivated	Usually established to equal profits.



3. (a) **Explain 5 circumstances that would make an office manager replace the existing machine with a modern ones.**

- (i) Obsolescence – where the machines has attained its usefulness.
- (ii) Where faster machine is required.
- (iii) Where training skills have changed
- (iv) Where high quality work is required
- (v) When there is need to improve co-image
- (vi) If new machine has multiple uses.
- (vii) If new machine saves on space or storage.
- (viii) Where machine has potential/capable to reduce fraud.
- (ix) Where there is need to serve as labour.

(b) (i) Books of original entry

Sales journal

Date	Particulars	Invoice no.	Folio	Amount
5/1/2014	Asumbi			62,720v
	Tumo			46,200v
15/1/2014	Motomoto			37,100v
	Netto			7950v
	Posting to sales a/c in GL			<u>118,390</u>

Purchases Journal

Date	Particulars	Invoice no.	Folio	Amount
1/1/2014	Mwatate			40,800v
	Langi			36,380v
12/1/2014	mawe			16500v
	Posting to sales a/c in GL			<u>93,680</u>

Purchase return journal

Date	Particulars	Credit note no.	Folio	Amount
7/1/2014	Langi			4200v
	Mwatate			2050v
	Posting to sales a/c in GL			<u>6250</u>



Sales return journal

Date	Particulars	Debit no.	Folio	Amount
20/1/2014	Motomoto			1900v
	Posting to sales a/c in GL			<u>1900</u>

10x ½ = 5mks

4. (a)
- In case the final product is more bulky than inputs or raw materials.
 - Where the cost of transporting raw materials or input is lower than that of transporting the final product to the market.
 - Where the market is localized i.e concentrated in a particular area it might be economical to have the firm located there to be in close contact with the customers.
 - Where the government policy requires a firm to be located where the market is situated, the firm will have no choice but to comply.
 - Where the substantial external economies can be enjoyed where the market for the product exists, a firm might be extracted.
- (b)
- A decline in consumers tastes and preferences for the products.
 - A change in season causing a fall in demand for the product.
 - Decrease in population
 - Increase in taxation on the product by the government.
5. (a) **Advantages of government involvement in business to citizen**
- Government provides essential services which may be deemed unprofitable by entrepreneurs.
 - Government is able to carry out business that require large amount of capital which may not be raised by private individuals.
 - Business managed and run by the Government create employment hence help in solving/reducing unemployment problems.
 - Profits realized by the Government parastatals are distributed through provisions of services leading to equality/protection of consumers against exploitation.
 - Government run business create competition making private business to improve quality and charge fair prices.
 - Government help reduce foreign domination in the economy.
 - Government help in controlling environmental degradation
 - Government promotes economic development
 - Government involvement in business help in promoting entrepreneurial cultural.
 - Government involvement in business help in the adaption of the appropriate technology.
- (b)
- Inform potential buyers of the availability of the product in the market.
 - To inform the consumers of where the product can be found
 - Educated consumers on the uses of the product
 - In order to clarify misconceptions that may have been created about the product.
 - It can be used to announce changes and improvements on the product.
6. (a) **Factors leading to raise in level of National income**
- Adequate supply of quality human resource in a country.
 - Supply of adequate and quality capital goods.



- (iii) Discovery and increased exploitation of the existing natural resources in a country.
- (iv) Greater use of improved and appropriate technology
- (v) Increased foreign investment
- (vi) Growth in entrepreneurship/increased local investment
- (vii) Political stability in the country thereby creating conducive business environment.

(b)

$$(i) \text{ mark-up} = \frac{\text{Gross profit}}{\text{cost of goods sold}}$$

Cost of sales – (Opening stock + purchases) – Closing stock

$$(160,000 + 70,000) - 70,000$$

$$= 250,000 - 70,000$$

$$= 180,000$$

Gross profit = Sales – cost of sales

$$= 240,000 - 180,000$$

$$= 60,000$$

$$\text{Mark up} = \frac{60,000}{180,000} \times 100 = 33 \frac{1}{3} \%$$

$$(ii) \text{ Margin} = \frac{\text{Gross profit}}{\text{sales}}$$

$$= \frac{60,000}{240,000} \times 100$$

$$= 25\%$$

$$(iii) \text{ Rates of stock turn over} = \frac{\text{cost of goods sold}}{\text{average stock}}$$

$$= \frac{180,000}{\frac{160,000 + 70,000}{2}}$$

$$= \frac{180,000}{115,000}$$

$$= 1.565 \text{ times.}$$

$$\text{Current ratio} = \frac{\text{current assets}}{\text{current liabilities}}$$

Current assets = stock + debtors + cash at hand + cash at bank

$$= 70,000 + 25,000 + 20,000 + 10,000$$

$$= 125,000$$

Current liabilities = creditors = 75,000

$$\frac{125,000}{75,000}$$

$$= 5:3$$